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POSTAL FINANCIAL HANDBOOK — VOLUME I

(F H B V o l . – I)

Comprehensive Examination Study Material

General Principles · Rules · System of Accounts — from the DDO's Perspective

Updated Edition · 2026

Based on the Department of Posts Official Edition (2022), revised to reflect orders, notifications & amendments in force.



DISCLAIMER

This booklet has been prepared strictly from an examination point of view for candidates appearing in the Limited Departmental Competitive Examination (LDCE) for Inspector Posts (IP) and the Postal Services Group-B (PS Gr-B) Examination conducted by the Department of Posts.

It is a **study aid and learning companion only**. While every effort has been made to ensure accuracy and to incorporate the latest amendments, orders, circulars and notifications affecting the Financial Handbook Volume-I, this document does not have any official or legal sanctity and is **not a substitute for the original Government publication**.

Statutory provisions, monetary limits and procedures are revised by the Government from time to time. Readers and aspirants are **strongly advised to verify every provision against the original Government source** — the Department of Posts publication, gazette notifications, Directorate orders, and the relevant primary Rules (Receipts & Payments Rules, GFR-2017, FR & SR, CCS Rules, Income-tax Act, etc.) — before relying on it for official duty or final answers.

Wherever a provision has been updated, superseded or is subject to a later order, the same has been highlighted in a **■ Currency Flag** box. Where the latest position could not be independently confirmed, the uncertainty has been stated openly rather than papered over.

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“Verify against the primary source — the gazette is the final word.”

ABOUT THIS STUDY MATERIAL

The **Postal Financial Handbook, Volume-I** is the foundational financial-procedure manual of the Department of Posts. It lays down the **General Principles and Rules**, the **General Outlines of the System of Accounts**, and the day-to-day financial procedures to be followed — primarily from the standpoint of the **Drawing and Disbursing Officer (DDO)**. The current official edition was issued by the Directorate in **January 2022**, superseding the second edition of the erstwhile P&T Financial Handbook Vol-I of 1970.

This study material reorganises the entire Handbook into a clean, rule-by-rule learning format — retaining the original rule numbering so that a candidate can always trace a point back to the source — while weaving in the changes brought about by the **7th CPC**, **GFR-2017** (and its 2024-25 amendments), the **Finance Act provisions on TDS**, and the Department's move to the **SAP / ERP and CSI / Core System Integration** environment with digital ACG forms, e-receipts and direct bank credit.

What this booklet covers

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CURRENCY SNAPSHOT

Key provisions whose monetary limits / rules have changed since the 1970 / 2022 base text

The following table is a ready-reckoner of the most exam-relevant updates. Each is explained again, in context, by a ■ **Currency Flag** in the relevant chapter. Provisions marked “**confirm**” are those the candidate should re-verify against the latest Directorate order before an examination, as they are periodically revised.

Provision	Base text	Current position (verify against source)
TDS on contractors u/s 194C (Rule 30)	@2% if single payment > ₹30,000	Threshold: single payment > ₹30,000 OR aggregate > ₹1,00,000 in FY. Rate 1% (Ind./HUF) / 2% (others). Sec. 206AB omitted w.e.f. 01.04.2025. TDS on value excluding GST.
GFR procurement (Ch. XII / App. 6)	Old Stores rules	Rule 154: without quotation up to ₹25,000 ; Rule 155 Purchase Committee ₹25,001–₹2,50,000 ; Advertised tender / LTE limits enhanced by OM 10.07.2024 (LTE up to ₹50 lakh).
Losses to be reported (Rule 51-58)	₹5,000 / ₹10,000	Sabotage/serious loss reporting threshold substituted to ₹50,000 ; petty-loss write-off relaxed to ≤ ₹10,000 .
Arrears payable after death (Para 2.12, RPR 2022 Subsidiary Instructions)	Notes sometimes cite ₹5 lakh (OM 2018)	No legal authority / no bond up to ₹50,000 ; indemnity bond in Form R.P.R. 26 if gross claim > ₹50,000 ; anticipatory payment ≤ ₹50,000 . Two sureties normally; one possible if claim < ₹50,000. The ₹5 lakh/OM-2018 figure relates to a different subject (terminal-benefit relief) — not this provision.
Receipt requiring stamp (Rule 48)	—	Receipts exceeding ₹5,000 to be stamped (Re.1 revenue stamp) u/s 3 of the Indian Stamp Act.

Provision	Base text	Current position (verify against source)
Pension by Money Order (Rule 34)	—	Up to ₹9,000/month + DR may be remitted by Service MO at pensioner's request. (confirm latest limit)
PC / Computer Advance (Ch. XII)	—	Retained post-7th CPC: limit ₹50,000 or actual; up to 5 times in service; recovery ≤ 150 instalments . Interest rate notified yearly by MoF. (confirm rate)
Arrear claims time-bar (Rule 24-27)	two / three years	Claims not preferred within 2 years need Circle A.O. authority; petty claims ≤ ₹500 within 3 years without pre-check.
Accounting / IT environment	Manual ledgers, ACG-67	Migrated to SAP / ERP, CSI ; manual ACG-67 discontinued — digital ACG-67, e-receipts, direct bank/POSB credit now standard.

IMPORTANT

Verification standard: monetary limits in financial rules are revised frequently by the Ministry of Finance and the Directorate. Always cross-check the figure that appears in an examination question or official file against the **latest gazette / Directorate order**. This booklet flags every figure known to have changed; it cannot guarantee that no further change has occurred after the date of compilation.

HOW TO USE THIS BOOKLET

Symbols used

Rule X. Title — every provision keeps its original FHB rule number so you can cite it and find it in the source.

■ **Currency Flag** — the provision has been amended/updated; the box gives the current position.

★ **Exam Focus** — high-yield points, memory hooks, and frequently-asked figures.

Note — clarifications, exceptions and departmental orders worth remembering.

A study strategy that works

1. Read a chapter once for understanding, then revisit only the bold terms, figures and form numbers — these are what questions test.
2. Master the numbers: time-limits (60 days, 2 years, 3 months), monetary thresholds, and percentages. FHB questions are overwhelmingly figure-based.
3. Learn the form numbers (ACG-, GAR-, TR-, GFR-) by the function they perform; examiners love matching a form to its purpose.
4. Treat every Currency Flag as a likely question — updated provisions are favourite examiner territory.
5. After each chapter, attempt Dak Guru mock-test MCQs on that chapter to lock the recall in.

CHAPTER I

General

Introductory

Rule 1. Scope and Application

The rules in this Handbook describe primarily the procedure relating to the **initial and compiled accounts** of officers of the Department of Posts. The general rules are drawn from the **Receipts and Payments Rules, 1983**, the **Treasury Rules**, the **Government Accounting Rules, 1990 (GAR)**, **GFR-2017**, and other financial rules issued by the Central Government, included here with necessary modification. Special rules applicable to the Department, and the rules on initial accounts framed by the **Controller General of Accounts (CGA)**, are also incorporated.

Rule 2. Definitions

Unless the context otherwise requires, the following terms carry the meanings shown:

- **Accounts Officer** — the Head of an Office of Accounts.
- **Bank** — any office or branch of the Banking Department of the **Reserve Bank of India**; any branch of the **State Bank of India** (or a subsidiary bank) acting as agent of the RBI; or any other agency appointed by the RBI to transact Government business.
- **Secretary** — the Secretary, Department of Posts.
- **Director General** — the Director-General of the Department of Posts.
- **Department** — the Department of Posts.
- **Government** — the Central Government.
- **Head of a Circle** — a Chief Postmaster General of a Circle, or any other officer specifically declared as such by the Competent Authority.
- **Head of a Department** — any authority declared as such under **S.R. 2(10)**, or any officer specifically declared by the President. The **Director-General is the Head of the Department of Posts**.
- **Treasury** — includes a Sub-Treasury.

NOTE

For the purpose of **Schedule-II** (Financial Powers of the HoC and HoD), the **Sr. DDG (PAF)** and **GMs (PAF)** are also included as Heads of Department.

Rule 3. Declaration of Head of Office

Where an office has more than one Gazetted Officer, the **Head of the Department** is authorised to declare any one of those Gazetted Officers as the **Head of the Office** for the purpose of the rules in this Handbook.

★ EXAM FOCUS

Quick recall — Chapter I: (i) FHB Vol-I draws from R&P Rules 1983, Treasury Rules, GAR 1990 & GFR-2017. (ii) DG = Head of Department of Posts. (iii) HoC = CPMG of a Circle. (iv) Bank includes RBI / SBI as RBI's agent / POSB. (v) Treasury includes Sub-Treasury.



CHAPTER II

General Principles and Rules

A — Receipt of Money

Rule 4. Deposit of Public Money

All transactions to which an officer of Government, in his official capacity, is a party **must be brought to account**. Money received as Government dues, or for deposit in Government custody, must be paid **in full and without undue delay** into a Treasury or the Bank. **Appropriation of departmental receipts to departmental expenditure is prohibited**, except that in **Post Offices**, cash receipts may be used by Postmasters for departmental purposes under regulations, **only the surplus being remitted** to the Bank/Treasury; other postal/RMS officials must lodge their official receipts in full at the most convenient Post Office.

Rule 5. Constitutional Provision (Article 284)

Under **Article 284 of the Constitution**, all moneys received by or deposited with any officer in his official capacity — **other than revenues or public money raised/received by Government** — shall be paid into the **Public Account**.

Rule 6. The Public Account

The Public Account is the account of moneys which have passed into Government custody. Every Government servant must, without undue delay, pay into the Public Account all moneys received as Government dues or for deposit; and **no Government servant may deposit in a private bank** any money withdrawn from the Public Account.

Rule 7. Responsibility for Funds

A Government servant supplied with funds is **personally responsible** for them until an account is rendered to the satisfaction of the Accounts Officer, and for ensuring that payments are made **directly into the bank accounts (including POSB)** of the persons entitled to receive them.

Rule 8. Granting of Receipts

The Head of an Office receiving money on Government's behalf must give the payer a **receipt / e-receipt**, duly signed, after satisfying himself that the amount is correctly

entered in the Cash Book (proper GL code). The receipt is issued in **digital ACG-67 (system-driven)**, money being credited directly to the Government account through the appropriate SAP General Ledger account.

■ CURRENCY FLAG

Manual ACG-67 discontinued. With digitisation, only the **system-driven digital ACG-67 / e-receipt** is in use; the payer gets an electronic acknowledgement.

Rule 9. Check / Responsibility for Collection

It is ordinarily the duty of the **Departmental Officers**, not the Accounts Officer, to see that the dues of the Department are regularly collected and brought to account.

B — Payment of Money

Rule 10–11. Authority to Withdraw

Moneys may not be withdrawn from the Public Account **without the written permission** of the Disbursing Officer or an Accounts Officer. An Accounts Officer may permit withdrawal only **within the limits of his own jurisdiction**.

Rule 12. Purposes of Withdrawal

A Disbursing Officer may permit withdrawal to:

6. pay sums due from Government to the Drawing Officer;
7. provide funds to meet claims likely to be presented by other Government servants or private parties;
8. supply funds to another Government officer to meet similar claims; and
9. pay sums on account of loans and advances.

Withdrawal for any purpose **not** so specified requires the express authority of an Accounts Officer.

Rule 14. Place of Payment

Except as otherwise provided, a payment shall be made **only at the office under whose jurisdiction the claim arises**.

Rule 15. Sanction Requirement

As a general rule, **no expenditure may be incurred from public funds** until it has been sanctioned by general or special orders of the **President** (or a delegate) **and** provided for in the authorised grants and appropriations for the year.

Rule 16. Limits of a Disbursing Officer's Authority

A Disbursing Officer has **no general authority** to pay on demands presented at his office; his authority is strictly limited by these rules and the financial rules in the Postal Manual. An unauthorised demand must be **declined for want of authority**.

NOTE

The DO may **not** refuse a bill merely because a special sanction was not quoted where the omission is because the sanction was not obtained — responsibility for such unsanctioned charges rests with the **Drawing Officer**. A DO has no authority to pay on a bill not in the prescribed form.

Rule 17. Corrections in Bills

- (a) Obvious inaccuracies or arithmetical mistakes that can be corrected need not cause the bill to be returned — the DO may correct it and pay the corrected amount.
- (b) Doubtful items that can easily be eliminated should be disallowed and the remainder paid. The correction and reasons are intimated to the drawer (and Accounts Officer, if necessary).

Rule 18. Endorsements on Cheques / Bills

Cheques and bills presented at a Treasury, being **non-negotiable**, can be endorsed **only once** in favour of the specific payee. Provided that:

10. an endorsement to a Banker allows a **second endorsement** by the Banker to a messenger/agent for collection only;
11. a contingent bill endorsed to a firm of suppliers may be re-endorsed by the firm to its Banker (or a messenger for collection), and the Banker may again endorse to a messenger — so in all **three endorsements** are permissible, of which one is to the payee's banker and one to a messenger/agent for collection only; and
12. an agent may, for collection, endorse the cheque/bill to his messenger.

NOTE

Cheques drawn **directly on the Bank** (without the Treasury Officer's intervention) are **negotiable** and not subject to this Rule. 'Banker' here includes a Post Office Savings Bank.

Rule 19 / 19-A. Specimen Signatures

The Accounts Officer supplies disbursing offices with **specimen signatures** of officers authorised to sign payment orders. Every officer authorised to draw funds from a Post Office must send his **specimen signature to the Postmaster** through a superior officer whose specimen is already on record.

Rule 19-B. Final Payment of GPF Money

Copies of GPF final-payment authorities issued by the Circle Postal Accounts Office to Disbursing Officers bear a **special metallic embossing seal**. No final GPF payment may be made without verifying this **special seal and the specimen signature** of the authorising officer.

Presentation of Claims

Rule 20–23. Claims by Government Servants

- **First pay claim (R.21):** no pay/allowance drawn for the first time from a disbursing office (other than for a newly-appointed person) is paid unless supported by a **Last Pay Certificate (LPC)**.
- **On transfer / return from leave out of India (R.22):** no payment without the orders of the Accounts Office.
- **Gazetted officers (R.23):** pay, leave salary, allowances, reward, honorarium or pension of a Gazetted officer is not paid until the Accounts Officer intimates the **rate of payment**.

Rule 24. Arrear Claims — Two-Year Bar

No claim against Government (other than inter-departmental or State-Government claims) **not preferred within two years** of becoming due may be presented without authority from the Circle Accounts Officer.

- **Exception:** claims **not exceeding ₹500**, if presented within **three years**, may be paid without pre-check by the Circle A.O.
- Bills for claims more than **two years** old are subject to pre-check even if the net amount payable is nil.

Rule 25. Forfeiture of Travelling Allowance

The right to travelling allowance (including daily allowance) is **forfeited** if the claim is not preferred within **sixty days** from the date it becomes due.

Rule 26. Railway Claims

Claims between the Department and Railways for over/under-charges are admitted only if preferred within **six months** of payment or presentation of the bill.

Rule 27. Investigation of Time-Barred Claims

Claims to arrears of pay, increments or other dues not preferred within two years are not investigated unless:

- (a) more than **2 years** but not more than **6 years** old — specific approval of the **Head of Department**; or
- (b) more than **6 years** old (where records are available) — specific approval of the **Head of Department**.

NOTE

LTC claim due dates: with advance — within **one month** of the due date; without advance — within **three months**. Grant of a normal increment is **not** a sanction. For a deceased official, the two years run from the day **following death**.

Payments to Persons Not in Government Service**Rule 30. Claims by Non-Government Persons**

- (a) the claim must be submitted through the Head of the Circle or the responsible officer under whose order the service was done; and
- (b) income-tax is to be **deducted at source (TDS)** on payments to contractors/sub-contractors under **Section 194-C of the Income-tax Act, 1961**.

■ CURRENCY FLAG

TDS u/s 194-C — current position (FY 2025-26): deduct where a **single payment exceeds ₹30,000 OR aggregate payments in the year exceed ₹1,00,000**. Rate: **1%** (individual/HUF payee) or **2%** (others). TDS is computed on the value **excluding GST**. **Section 206AB** (higher rate for non-filers) was **omitted w.e.f. 01.04.2025**, so no compliance-check lookup is now required; Section 206AA (20% for no-PAN) still applies. [Source: Income-tax Act, 1961 r/w Finance Act 2024 & 2025.]

Payment of Rent & by e-Money Order

Rule 32. Mode of Payment of Rent

Rent of a building occupied by the Department is paid under a receipt signed by the owner, or by **credit to the owner's Bank / POSB account** per the agreement.

Rule 33–34. Payments by e-Money Order

When a departmental payment is made by postal service / e-MO, the purpose of remittance is briefly stated. The **cost of remittance** of money due by Government, in the absence of a contrary rule, is **borne by the payee**.

■ CURRENCY FLAG

Pension by Money Order: pension up to ₹9,000/month plus DR may, at the pensioner's request, be remitted by **Service Money Order**. (*Limit periodically revised — confirm the current ceiling against the latest Directorate order.*)

C — Miscellaneous (Bills, Stamps, Losses, Propriety)

Rule 35–47. Preparation and Check of Bills

- Bills are prepared in **ink / electronically**; amounts written in words and figures; **no erasures** — corrections attested.
- Charges of **different kinds** and charges against **different heads** are not mixed in one bill where separation is required.
- Every bill bears the **designation** of the drawing officer; dates and classifications are stated.
- Sub-vouchers above the prescribed limit are attached; the DO certifies the correctness of the claim.

Rule 48–49. Stamps for Receipts

Receipts for sums **exceeding ₹5,000** must be stamped with a **revenue stamp** under **Section 3 of the Indian Stamp Act**. Below this limit a receipt need not be stamped.

■ CURRENCY FLAG

Stamp limit: the threshold up to which a receipt need not be stamped is ₹5,000 (revised upward from the earlier ₹500). A receipt above ₹5,000 attracts a **Re. 1 revenue stamp**.

Rule 51–58. Losses and Defalcations

- Any **loss of public money, stores or property** is reported **immediately** to the next higher authority and to the Circle Accounts/Audit Office.
- Cases of suspected **fraud / theft / sabotage** of the assessed value of **₹50,000 and above** are treated as serious losses requiring detailed report and investigation.
- **Petty losses** not exceeding **₹10,000** each need not be reported in detail, but must be recorded.

■ CURRENCY FLAG

Loss thresholds revised: the 'serious loss / sabotage' reporting figure has been substituted to **₹50,000** (from the old ₹5,000 / ₹10,000), and petty-loss reporting relaxed to **≤ ₹10,000**. Loss/fraud exceeding **₹5 lakh** continues to require report to the Directorate.

Rule 60. Standard of Financial Propriety

Every officer incurring or sanctioning expenditure observes the standards of financial propriety:

- the expenditure is not **prima facie more** than the occasion demands;
- no authority **exercises power to its own advantage**;
- public money is spent with the **same prudence as one's own**; and
- allowances are not **perquisites** — they should not on the whole be a source of profit.

Rule 61–69. Control of Expenditure & Records

- Controlling officers keep expenditure **within the sanctioned grant** and watch progressive totals against appropriations.
- Adjustments **between Governments** and of leave salary of officers on deputation are made per the prescribed procedure.
- Account records are **preserved** for the periods prescribed (see Appendix-3).

★ EXAM FOCUS

High-yield figures — Chapter II: Stamp on receipt > **₹5,000**; arrear bar **2 years** (petty ₹500 → 3 yrs); TA forfeit **60 days**; Railway claims **6 months**; TDS 194-C ₹30,000 single / **₹1,00,000 aggregate**; serious-loss **₹50,000**; three endorsements rule; Article 284 → Public Account.

CHAPTER III

General Outlines of the System of Accounts

Rule 70. Departmental Accounts & Major Heads

The accounts of the Department of Posts form part of the General Accounts of Government and follow the same plan. The Department plays a **dual role** — providing communication through Post Offices, and managing large financial business on Government's behalf (Money Orders, Savings Bank, certificates, insurance). Receipts and expenditure are classified under **Major, Minor, Sub and Detailed heads**.

Principal Major Heads:

- **1201** — Postal Receipts (revenue receipt head).
- **3201** — Postal Services (revenue expenditure head).
- **5201** — Capital Outlay on Postal Services.
- **7610** — Loans to Government Servants, etc.
- **8008 / 8011 / 8012** — Postal / Rural Postal Life Insurance and Insurance-Fund heads.
- **8443 / 8446** — Civil / Postal Deposits.
- **8455** — Settlement Account with **India Post Payments Bank (IPPB)**.
- **8553** — Postal Advances; **8781** — Money Orders; **8782** — Cash Remittances between offices.

Rule 71–72. Commercial Department & Function-wise Sub-heads

The Department is recognised as a **commercial department** and pays **interest on the capital** recorded under **5201**. Expenditure under **3201** is split function-wise:

- 01 General Administration · 02 Operation · 03 Agency Services · 04 Audit & Accounts · 05 Engineering · 06 Amenities to Staff · 07 Pension · 08 Stationery & Printing · 60 Other Expenses.

Rule 73–79. Accounting Units & the Check Cycle

- Each **Head Post Office, Head Record Office, MMS unit and Engineering Division** is an **accounting unit** rendering a monthly account to the **Circle Postal Accounts Office**.

- A **Head Post Office** submits a monthly cash account incorporating the transactions of its sub- and branch offices, classified in the A.O. into full major/minor/sub/detailed heads.
- Drawings and remittances shown by the DDO are **independently cross-checked** against the figures reported by the **Bank/Treasury** — a complete, independent check on total transactions.
- Main revenue sources: sale of **stamps & postage**, commission on **Money Orders & IPOs**, and recoveries for other departments. **Central Stamp Store, Nashik** supplies stamps to Circle Stamp Depots.

★ EXAM FOCUS

Remember the heads: 1201 Postal Receipts · 3201 Postal Services · 5201 Capital · 7610 Loans to Govt servants · 8455 IPPB settlement · 8781 Money Orders. Department of Posts = **commercial department** paying interest on capital.



CHAPTER IV

Relations with Audit

Rule 80. Audit & Accounts Set-up

Accounting work is distributed among **Circle Postal Accounts Offices** headed by GM (PA&F) / Director / Dy. Director of Accounts (Postal). **External (statutory) audit** is conducted by **P&T Audit** under the **Comptroller and Auditor-General of India** — keeping the audit function **independent** of the executive and accounts wings.

Rule 81–93. Objections, Replies & Recoveries

- Audit raises **objections** on irregularities; the DDO must give **full, clear, self-informed replies** — vague or evasive replies are to be avoided.
- A single monthly note of recoveries/adjustments, signed by the Head of Office, is sent with (or within a **week** of) the monthly accounts.

Rule 94–97. Audit Inspections

Circle Accounts/Audit Offices arrange **periodical test-audit and local inspection** of HPOs, RMS, Foreign Post, Circle/Regional/Divisional Offices, MMS, Stamp Depots and the Aligarh Postal Seals Office. Officers in charge must make initial accounts and records available.

Inspection report — three parts:

- **Part I** — introductory, outstanding objections in brief, schedule of persistent irregularities.
- **Part II** — Section A: important irregularities (recoveries, principle, losses) likely to become draft paras; Section B: lesser items to be pursued.
- **Part III** — test-audit note of minor irregularities, with a schedule of items settled on the spot.
- Parts I & II (all offices), Part III (MMS) are returned by the Head of Office within **one month**.

Rule 98. Requisition for Audited Documents

Audited documents required back by the executive are obtained on **requisition**, and returned to audit after use within the prescribed time.

★ EXAM FOCUS

Key points: Statutory audit = **P&T Audit under C&AG** (independent). Inspection report in **3 parts**; Part II-A → draft paras. Reply window **one month**.



CHAPTER V

Cash

General Matters

Rule 99–106. Custody and Handling of Cash

- All cash and valuables are kept in a **treasure chest / strong room** under **double lock**, the keys held by different officers.
- The term '**cash**' includes legal tender notes/coin, cheques, demand drafts and revenue stamps in hand.
- No money received for Government is kept apart from Government cash or in a **private account**.
- Cheques accepted in payment of postal dues are subject to **bank guarantee** arrangements, with stated exceptions (e.g., IOC cheques).

Rule 107–109. Acceptance & Accounting of Cheques

Cheques received in payment of postal dues are brought **directly to account** in the Cash Book and entered in the **Register of Cheques Received and Cleared (Form ACG-28)** to watch encashment. A **dishonoured cheque** entry is **written back**. Cheques on a local Treasury are sent to the Treasury at day-end as a cash remittance.

Cash Book — Upkeep & Verification

Rule 110–115. Upkeep of the Cash Book

- Every transaction is recorded in the **Cash Book** the day it occurs; the Cash Book is **closed and balanced** regularly.
- The **Head of the Office** verifies the totals and the closing balance, and **dates and initials** the Cash Book.
- Erasures/overwriting are prohibited; corrections are made in **red ink** and attested.

Rule 116–123. Verification of Cash Balance

- The **actual cash balance** is counted and **verified against the Cash Book** at the close of each month (and on transfer of charge).
- A **certificate of verification** of the cash balance is recorded by the Head of the Office.

- Any **discrepancy** is investigated at once; a shortage is made good / a surplus credited to Government.
- **Inspecting Officers (R.123)** verify the cash balance during inspection and record the result.

★ EXAM FOCUS

Remember: 'cash' includes **cheques, drafts & stamps**; double-lock custody; **ACG-28** = Register of Cheques Received & Cleared; dishonoured cheque entry is **written back**; cash balance verified **monthly** and on transfer of charge.



CHAPTER VI

Supply of Funds & Other Remittance Transactions

Rule 124–125. Cash Balance Limits

The cash balance of each Post Office is kept **as low as possible**, within the prescribed **maximum and minimum**. The **Head of Circle / Sr. SP** fixes the limits of first-class HPOs; the **SP** fixes the limits of offices under his control. On touching the maximum a surplus office **remits the surplus above the minimum**; on touching the minimum a deficit office **replenishes up to the maximum**.

Rule 126–129. Transactions with Treasuries

- Post Office–Treasury transactions follow the **Treasury Rules (Compilation Vol-I)**.
- Each HPO in account with a Treasury keeps a separate **Treasury Pass Book**.
- The **drawing-account authority** issued by the Circle Postal Accounts Office is **current for 3 months**; if not acted upon, a fresh authority is issued in supersession.

Rule 130–133-B. Cheques

- Cheques are drawn on the authorised bank/Treasury in the **prescribed form**; crossed where required.
- A cheque is **valid for three months** from the date of issue; a **time-expired** cheque is revalidated or cancelled and re-issued.
- Lost cheques are dealt with by **stop-payment** and issue of a fresh cheque after the prescribed safeguards.

Rule 134–147. Sub-Office Transactions & Supply of Funds

- Sub-offices ordinarily transact through their **Head Post Office**; where convenient, a sub-office may deal directly with a Treasury on the Postmaster's arrangement.
- Funds for **pay & TA bills** and other disbursements are supplied to offices from the Post Office or the Treasury as the case may be.

Rule 148–160. Cheques — Supply of Funds from Treasuries

- Detailed procedure for **drawal against the drawing account**, entry in the Treasury Pass Book, and reconciliation with the Treasury/Bank scroll.

- A daily **debit/credit scroll** from the Bank is reconciled with the office records.

★ EXAM FOCUS

Key recall: HoC/Sr.SP fix HPO cash limits; **drawing-account authority valid 3 months; cheque valid 3 months;** remit surplus above minimum, replenish up to maximum; Treasury Pass Book per Treasury.



CHAPTER VII

Revenue and Miscellaneous Receipts

Rule 161–162. Revenue — General & Special Services

Departmental revenue comprises postage, commission, and receipts for **special services** rendered by the Department. Charges for special services are recovered and credited to **Postal Revenue (1201)**.

Rule 163. Franking Machine

Licensees use **franking machines** to print postage impressions; the **value of impressions** is paid in advance/recovered and accounted as postal revenue, against a **licence and security**.

Rule 164–167. Advertisements, Publications & Forms

- Receipts on account of **advertisements in departmental publications** are credited to revenue; **commission to canvassers** is regulated (see Chapter XI).
- Receipts for **sale of publications and forms** are brought to account and credited to the appropriate head.

Rule 168. Retail Post & Business Activities

Business activities such as **Retail Post, Speed Post, Business Post and Logistics Post** form part of the Department's revenue and are accounted under the postal-receipt head.

★ EXAM FOCUS

Remember: all special-service & business receipts (Speed/Business/Retail/Logistics Post, franking, advertisements, sale of forms) are credited to **Major Head 1201 – Postal Receipts**.

CHAPTER VIII

Pay and Allowances — General Rules

Rule 169–170. **Due Date**

Pay and allowances become **due on the first of the following month** and are ordinarily **disbursed on the last working day** of the month for which they are earned (with the usual exception for March, payable on the first working day of April).

Rule 171–173. **Deductions from Bills (Fund Deductions)**

- Compulsory deductions — **GPF/CPF/NPS subscription, income-tax, licence fee, recoveries of advances, court attachments, CGEGIS, society dues** — are made from the pay bill.
- The **net amount** only is paid to the official; deductions are remitted to the proper credit.

Rule 174–179. **Attachment of Pay for Debt**

Pay and allowances are attachable for debt under a **court order**, subject to statutory limits:

- the **first ₹1,000** and **two-thirds of the remainder** of the salary are **exempt** from attachment (the balance only being attachable);
- certain allowances (e.g., **dearness, HRA, TA, compensatory allowances**) are **wholly exempt** from attachment;
- the procedure for **recovery and remittance** to the court is followed strictly.

NOTE

Where more than one attachment order exists, recoveries are made in the **order of receipt**, subject always to the overall exemption limit.

Rule 180–183. **First Payment of Pay / Allowances**

- First payment is supported by an **LPC** (except for a newly appointed person).
- Identity of the payee is established before first payment; the **date of birth and date of appointment** are verified.

Rule 184. Officers Attending Court as Witnesses

A vacancy caused by an official attending court as a **witness on Government duty** is treated as on duty; expenses are regulated by the rules on the subject.

Rule 185–189. Arrears, Quitting Service & Death of Payee

- **Arrears (R.185–186):** drawn on a separate bill quoting the bill in which the amount was originally due/omitted, with the reason for delay.
- **On quitting service (R.187):** pay is paid up to the date of relinquishment after recovery of Government dues and a '**no-demand**' check.
- **Death of payee (R.188–189):** amounts due to a deceased official are paid to the **legal heir / nominee**; for sums above the prescribed limit a **succession certificate / indemnity bond** is taken.

■ CURRENCY FLAG

Arrears payable after death — current limit ₹50,000 (Form R.P.R. 26). Para 2.12 of the Subsidiary Instructions to the Central Government Account (Receipts & Payments) Rules, 2022 fixes the operative figures as follows:

- Pay & allowances of all kinds of a **deceased Government servant** may be paid **without** the usual legal authority, under orders of the Head of Office, if he is satisfied about the claimant's right.
- Where the **gross amount of the claim exceeds ₹50,000**, payment is made **only on execution of an indemnity bond in Form R.P.R. 26**, duly stamped for the gross amount, with such sureties as deemed necessary.
- The Head of Office may make an **anticipatory payment not exceeding ₹50,000** (without the bond), subject to the same satisfaction condition.
- Normally **two sureties** of known financial stability are required; but if the gross claim is **less than ₹50,000**, the authority accepting the bond may decide, on the merits, to accept **only one surety**. Obliger and sureties must have attained **majority**; the bond is accepted on behalf of the President by an officer authorised under Art. 299(1).

Correcting a common error: some older notes/flashcards show this limit as **₹5 lakh** citing an **OM dated 2018**. That OM (Dept. of Expenditure, MoF, dated 20.06.2018) concerns *immediate relief / speedy disbursement of terminal benefits & family pension* to families of those who die in service — a **different subject**. The governing figure for

arrears-after-death / anticipatory payment without bond is **₹50,000**, per the RPR 2022 Subsidiary Instructions.

Source: Subsidiary Instructions to RPR 2022, para 2.12 (pp. 36–37), issued by CGA, Ministry of Finance (Dept. of Expenditure), OM dated 26.08.2022; RPR 2022 notified vide G.S.R. 644(E) dated 20.08.2022. For Posts, subject to any modification by authorised departmental regulations.

★ EXAM FOCUS

Death-arrears quick recall: no legal authority / no bond up to **₹50,000**; **indemnity bond in Form R.P.R. 26** if gross claim > **₹50,000**; anticipatory payment ≤ **₹50,000**; **two sureties** normally, **one surety possible if claim < ₹50,000**. (Not ₹5 lakh.)

Rule 190–197. Place of Payment, Leave Salary & Honorarium

- **Place of payment (R.190–191):** pay is drawn at the office where the official is **posted/serving**; on transfer, the new office draws after the LPC is received.
- **Leave salary (R.192):** paid on the rates fixed for the kind of leave; for an officer **absent out of India**, payment is regulated by special orders (R.193).
- **Honorarium (R.195):** paid only on a **specific sanction** of the competent authority, with reasons recorded.
- **Bond of indemnity (R.197):** agents drawing money on behalf of others execute a **bond of indemnity**.

★ EXAM FOCUS

Attachment rule (favourite): first **₹1,000** + **2/3 of the remainder** of salary is exempt; DA/HRA/TA wholly exempt. Pay due **1st of next month**, paid **last working day**. First payment needs **LPC**.

CHAPTER IX

Establishment

Rule 199. Sections of Establishment

Establishment in each office is divided into '**sections**', fixed by the **Circle Postal Accounts Officer** in consultation with Heads of Offices, so that each section is a unit of Government servants drawing pay in the **same time-scale** under one officer's control (an old scale and its corresponding new scale count as one).

NOTE

Exception: Sub-Postmasters on the same time-scale form one section; **Inspectors of Posts and Head Clerks** of SPOs form one section.

Rule 200–204. Alteration of Establishment

A proposal to create or change an establishment is submitted by a letter setting out the **present cost**, the **number and pay** of posts to be added/modified, and an **accurate estimate of the extra cost** (including allowances). Pension liability arising from the proposal must be considered and certified.

- Proposals are supported by a **proposition statement** showing operative and reserve strength before and after.

Rule 205–206. Register of Sanctioned Establishment

A **Register of Sanctioned Establishment** records every sanctioned post, its scale and sanction reference; it is reconciled with the pay bill.

Rule 207–208. Date of Birth

The **date of birth** declared at entry is recorded in the Service Book and is **not ordinarily alterable** thereafter except under the prescribed procedure within the prescribed period.

Rule 209–213. Service Books

- A **Service Book** is maintained for every non-gazetted official from the date of appointment.
- All events — appointment, increments, promotions, leave, suspension, transfer — are **attested** by the Head of Office.

- The Service Book is **shown to the official annually** and his signature obtained; on transfer it accompanies the official.

Rule 214. **Leave Accounts**

A **leave account** is maintained in the prescribed form as part of the Service Book and posted whenever leave is sanctioned.

Rule 215–222. **Monthly Pay Bills**

- Establishment pay is drawn on a **monthly pay bill** supported by the absentee statement and increment certificate.
- Changes since the previous month are shown; **net amount** is paid after deductions.

Rule 223–224. **Absentee Statement**

An **absentee statement** accompanies the pay bill, showing every official absent (leave, suspension, deputation, vacancy) and the arrangement made.

Rule 225–226. **Periodical Increment**

Increments are drawn on an **increment certificate**; an increment accrues on the prescribed date and is **not a fresh sanction**. An increment withheld as a penalty is drawn only after the period of withholding.

Rule 227–232. **Travelling Allowance Bills**

- TA bills are prepared in **Form GAR-14** and presented at convenient intervals during the tour or **immediately on return**; as far as possible before **31st March** if the tour ended before that date.
- The **controlling officer** countersigns after scrutiny of necessity and rates.

Rule 233. **Cost of Medical Treatment**

Claims for **reimbursement of medical expenses** are drawn and regulated under the CS(MA)/CGHS Rules.

Rule 234. **Overtime Allowance (OTA) in RMS**

OTA — including allowance for duty on Sunday/weekly-off earned by RMS sorters — is drawn in **Form ACG-37**, in duplicate, after each **four-weekly cycle**.

- **Up to 70 hours:** sanctioned by the **Divisional Head**.
- **Beyond 70 hours:** formal permission of the **Head of Circle**.

Rule 235–236. Outstation Allowance (OSA)

OSA earned by Sorters, Mail Guards and Van-Peons is drawn in **Form ACG-38** early in the following month by the Head Record Clerk and submitted to the Divisional Superintendent for countersignature.

Rule 237–240. Season Tickets, Distribution & Deceased Dues

- **Season tickets (R.237):** cost of season tickets purchased for official duty is drawn under the rules.
- **Distribution of pay (R.238):** if payment cannot be made within the month, the amount is **refunded by short-drawal** in the next bill and entered in the **Undisbursed Pay & Allowances Register (ACG-54)**; distribution roll is **ACG-24**.
- **Deceased / suspended (R.240):** dues of a deceased official, or one on leave/under suspension, are paid per the prescribed procedure to the entitled person.

★ EXAM FOCUS

Form numbers (memorise): TA bill **GAR-14**; OTA **ACG-37** (4-weekly, ≤70h Divl Head / >70h HoC); OSA **ACG-38**; Undisbursed Pay **ACG-54**; Distribution roll **ACG-24**. TA bill before **31 March**.



CHAPTER X

Contingent Charges

Rule 241–242. Definition

- **Contingent charges** — incidental and other expenses for the management of an office or the technical working of a department (excluding works, repairs, stock, tools & plant).
- **Exclusions:** pay & allowances, leave salary, pensions, grants-in-aid, contributions.

Rule 243. Classification of Charges

- **Contract contingencies:** a lump sum placed annually at a Disbursing Officer's disposal.
- **Special contingencies:** charges needing the previous sanction of a superior authority.
- **Countersigned contingencies:** charges needing the countersignature of a controlling authority before admission as expenditure.
- **Fully-vouched contingencies:** charges incurred by the Head of Office on his own authority without special sanction or countersignature.

NOTE

Contingent bills of the **DG and HoC offices** do not require any countersignature.

Rule 244–249. General Rules & Casual Labour

- **Casual labour (R.245):** daily-wage workers are **not engaged for work of a regular nature** and cannot be deployed for work assigned to MTS.
- **Payment (R.246):** where the work is the same as that of regular employees, casual workers may be paid at **1/30th** of the minimum of the relevant pay scale + DA for an **8-hour** day.

Rule 250–251. Responsibility

- **Drawing officer (R.250):** exercises the **same vigilance over petty contingent expenses** as a prudent person spending his own money.

- **Controlling authority (R.251):** ensures items are of obvious necessity at fair rates, previous sanction is attached, vouchers are received, calculations are correct, and grants are not exceeded.

Rule 252–253. **Permanent Advance (Imprest)**

A **cash imprest** of a moderate amount is sanctioned by the **Head of Circle** (e.g., for IP, ASP, HSG-I Postmaster). The limit is fixed by the competent authority on the basis of need.

Rule 254–258. **Control & Record of Sanctions**

- **Detailed bills (R.255):** no detailed bill need be submitted for contingent charges that are not countersigned contingencies.
- **Record (R.258):** the sanctioning authority keeps a **register of all sanctions** accorded.

Rule 259. **Cancellation & Destruction of Sub-Vouchers**

- No sub-voucher may be destroyed until after **three years**.
- Retained sub-vouchers are **cancelled** by rubber stamp / red-ink endorsement.
- Sub-vouchers exceeding **₹500** (revised from ₹50) up to the audit-submission limit are cancelled by the Controlling Officer after check.

■ **CURRENCY FLAG**

Sub-voucher value revised: the figure for controlling-officer cancellation has been updated from **₹50 to ₹500**. Preservation period remains **three years**.

Rule 260–262. **Supply of Articles & Inter-Departmental Adjustments**

- Articles for public service are obtained per the **stores / procurement rules** (GFR-2017; see Appendix-6).
- Charges for services rendered by another department are settled by **inter-departmental adjustment**.

Rule 263–265. **Contingent Registers**

- **DG / Circle Offices:** Form TR-29.
- **Head Post Office:** Form ACG-18.
- **Head Record Office:** Form ACG-18-A.

Rule 266–273. Bills for Encashment & Fully-Vouched Charges

- **Endorsement validity (R.267):** a contingent bill endorsed to suppliers remains current for **three months**; a bill issued in the last quarter **lapses unless cashed by end-March**.
- **Fully-vouched charges (R.268–273):** supported by vouchers and drawn by the Head of Office on his own authority.

Rule 274–280. Countersigned Contingencies & Counter-Signature

- **Abstract bill (R.275):** contingencies countersigned *after* payment are drawn in **Form ACG-19**.
- **Detailed bill (R.276):** prepared in **Form ACG-19(1)** from the monthly totals of the contingent register.
- **Despatch of countersigned bill (R.278):** for HPOs, by the **5th** of the second following month; GPO/HPO/MDGs by the **15th**; other offices by the **last day** of the following month.

Rule 281. Disallowance

An item disallowed by the controlling/audit authority is **recovered** from the drawing officer unless re-validated.

■ CURRENCY FLAG

Sub-voucher threshold ₹2,000 & GST certificate (RPR 2022). The Subsidiary Instructions to RPR 2022 prescribe, for the civil-side procedure that Posts follows except where modified by departmental regulations:

- Sub-vouchers for **more than ₹2,000** each are submitted to the Accounts Office; **petty items up to ₹2,000** need not be attached but are **listed in Form R.P.R. 28**. (For e-bills, scanned sub-vouchers are attached.) — para 2.20(3)–(4).
- Contingent bills that include **GST-charged purchases** must carry a signed certificate that the goods are **not GST-exempt** and the GST amount is correct under the Act — para 2.16(4).
- Sub-vouchers are **retained for three years** before destruction (para 2.18); the contingent register on the civil side is **Form R.P.R. 27**, the postal-side equivalents being **TR-29 / ACG-18 / ACG-18-A**.

Source: Subsidiary Instructions to RPR 2022, paras 2.16, 2.18 & 2.20, issued by CGA, Ministry of Finance (Dept. of Expenditure), OM dated 26.08.2022.

★ EXAM FOCUS

Form/figure recall: Contingent register — **TR-29 / ACG-18 / ACG-18-A**; Abstract bill **ACG-19**, Detailed bill **ACG-19(1)**; casual labour **1/30th** + DA (8h); sub-voucher to Accounts Office if > **₹2,000** (petty ≤ ₹2,000 listed in **R.P.R. 28**); sub-voucher kept **3 years**; endorsement valid **3 months**; imprest sanctioned by **HoC**.



CHAPTER XI

Miscellaneous Charges

Rule 281–284. Refunds of Revenue

Refunds of revenue are classified as:

- refunds to which the claimant is **legally entitled**;
- ex-gratia refunds; and
- refunds are **not** treated as expenditure for the purpose of grants.

A refund is drawn only on the **demand and receipt** of the person entitled; **noted against the original credit** and on the counterfoil of the receipt; and paid by **credit to the claimant's bank account**.

Rule 285–286. Refunds to Departmental Offices & of Loans

- Refunds to departmental offices are adjusted by **transfer entry**.
- Loans repaid in excess are **refunded** after verification of the loan account.

Rule 287. Commission to Canvassers

Commission to canvassers who procure **advertisements for departmental publications** is paid at the sanctioned rate as a miscellaneous charge.

Rule 288–290. Rents Payable to Railways

Rent payable to a **Railway administration** for premises/space is paid and adjusted under the inter-departmental procedure.

Rule 291. Refund of Postal Charges

Refund of **postal charges** (postage, etc.) is allowed only in the circumstances and to the extent permitted by the Postal Manual / tariff rules.

★ EXAM FOCUS

Remember: refunds of revenue are **not** expenditure for grants; always noted against the **original credit** and paid by **bank credit**.

CHAPTER XII

Loans and Advances to Government Servants

Rule 292–295. General Rules & Sanctions

- Advances are of two broad kinds — **for departmental purposes** and **on personal account**.
- Every advance is sanctioned by the **competent authority**; the sanction states the purpose and (for a transfer-TA advance) the new office.

Rule 296–299. Departmental & Contingent Advances

- **Construction / repairs**: debited to Major Head 8553 – **Postal Advances**.
- **Government servant loans**: debited to Major Head 7610 – **Loans to Govt. Servants**.
- **Supplier advances**: private firms — max **30%** of contract value; State/Central/PSU — max **40%**; maintenance contracts — max **6 months'** payable amount (against bank guarantee).

Rule 298. Repairs to Rented Buildings

The **DG and Heads of Circles** may sanction expenditure on repairs (incl. electric installations) to **rented buildings** if the landlord fails to do them; non-recoverable expenditure is debited to 'Office Expenses'.

Rule 300–306. Personal Advances — Estimates, Drawal, Repayment

- Personal advances now retained after the **7th CPC** include the **House Building Advance (HBA)** and the **Personal Computer Advance**.
- **Drawal (R.303–304)**: on an ordinary pay/TA bill or a Simple Receipt (**Form ACG-17**); paid by off-cycle payment using **PA-30**.
- **Repayment (R.305–306)**: recovered in monthly instalments from pay; interest recovered after principal.

■ CURRENCY FLAG

7th CPC effect: most personal advances (festival, motor-car, motor-cycle, etc.) were **abolished** on the 7th CPC recommendation. Advances that continue include **HBA, Computer/PC Advance**, and the travel-related advances (LTC advance, TA advance

on tour/transfer, advance for medical treatment, and TA for the family of a deceased Government servant).

Rule 307–311. Recovery, Rate & Special Advances

- Recovery and accounting of loans/advances follow the prescribed mode; the **rate of recovery** is fixed in the sanction.
- **Interest — Government decisions:** penal interest **2.5%** over the normal rate; on an overdue non-interest-bearing advance, **2%** over the GPF interest rate. Interest recovered is credited to Major Head **0070 / 0049** (miscellaneous / interest receipts).

Rule 312–315. Advance on Tour & PC Advance Recovery

- **Advance on tour:** an amount sufficient for one month's personal travelling expenses; **adjusted within 15 days** of completion of the tour / resumption of duty.
- **Second advance:** not granted until the first is accounted for, except where the second journey is within a **week**; in any case not more than **two** advances outstanding at a time.
- **Cash overseers (R.312):** SPOs / First-Class Postmasters may sanction advances for motor-bus fares to Cash Overseers.
- **Suspension (R.314):** no advance to an employee under suspension.

Rule 316–319. PC Advance Timeline & Acknowledgement of Balance

- **Purchase timeline (R.316):** negotiation and payment for the PC completed within **one month** of drawing the advance (extendable to **two months** by the HOD).
- **Acknowledgement (R.319):** the DDO records, on the April monthly abstract, a certificate of the outstanding balance as on **31st March**; long-term balances are verified by the CPAO through HR-module schedules.

NOTE

Personal Computer Advance — ready facts (GAR-27): limit **₹50,000** or actual price, whichever is less; available to **all Government servants**; allowed up to **5 times** in service with a **3-year** gap; sanctioned by Head of Department; recovered in **≤ 150 monthly instalments**; total recoveries not to exceed **50%** of emoluments. *Interest rate is notified annually by the Ministry of Finance — confirm the current rate.*

★ EXAM FOCUS

Figure recall: supplier advance 30% **private** / 40% **Govt-PSU**; tour advance adjusted in **15 days**; max **2** advances outstanding; PC Advance **₹50,000** / **5 times** / **3-yr gap** / **≤150 instalments**; HBA & PC Advance survive 7th CPC; loans head **7610**, postal advances **8553**.



CHAPTER XIII

Sanctions

Rule 320–322. Powers & Source of Appropriation

No expenditure is incurred without the **sanction of the competent authority** and provision in the grant. A sanction to expenditure **indicates the source of appropriation** against which it is to be met.

Rule 323. Date of Effect

A sanction takes effect from the **date of issue of the order**, unless a different date is specified.

Rule 324. Lapse of Sanction

- **General:** a sanction not acted upon for **one year** lapses.
- **GPF advance:** lapses after **three months** if not acted upon.
- **Budget provision:** sanctions against budget provision **lapse on expiry of the financial year**.

Rule 325–326. Reduction / Discontinuance

A sanction may be **reduced or discontinued** by the sanctioning (or higher) authority; recurring sanctions continue until revised or withdrawn.

Rule 327–336. Communication, Write-off & Remission

- Sanctions are **communicated to the Accounts Officer** in the prescribed manner for noting and audit.
- **Write-off (R.332):** all sanctions for writing off irrecoverable stores or public money are **communicated to the Accounts Officer**.
- **Remission (R.333):** sanctions remitting revenue/dues are similarly communicated.

★ EXAM FOCUS

Lapse rules (favourite): general sanction **1 year**; GPF advance **3 months**; budget sanction **end of financial year**. Sanction effective from **date of issue**.

CHAPTER XIV

Deposits

Rule 337–338. General

Deposits are moneys received and held by Government **on behalf of others** pending repayment or adjustment, credited under the **deposit heads** and repaid on a proper claim.

Rule 339–340. Security Deposits & Bonds

- A security deposit is covered by a **Security Bond (Form GFR-14)**.
- A **Fidelity Bond (Form GFR-17)** / fidelity guarantee policy may be furnished in lieu of cash security.
- Cash deposits may be recovered from an employee handling cash by **deduction from monthly pay**.

Rule 341–352. Government Securities & Certificates as Security

- Security may take the form of **Government Promissory Notes / Stock Certificates**, duly pledged and held in safe custody.
- Post Office **Savings Bank pass-books / Cash Certificates** may be accepted as security, suitably pledged to the Department.

Rule 353–356. Forms & Amount of Security

Security from a contractor may be furnished as:

- cash; promissory notes / stock certificates; POSB pass-books / cash certificates;
- a **10%** deduction from monthly payments; personal security of two persons; a Fidelity Bond; or a **Bank Guarantee / Demand Draft**.

NOTE

Security deposits (including earnest money) generally vary from **1% to 10%** of the estimated cost of the work.

Rule 357. Earnest Money Deposit (EMD)

EMD accompanies a tender as evidence of the bidder's earnestness; it is **forfeited** if the selected bidder fails to take up the work, and **refunded** to unsuccessful bidders.

Rule 358–365. Refunds, Lapsed Deposits & Fees

- **Refunds (R.358–360):** a deposit is refunded on production of due authority and after verification against the original credit.
- **Lapsed / confiscated deposits (R.361–364):** deposits unclaimed for the prescribed period **lapse to Government**; confiscated deposits are credited to revenue.
- **Deposits of fees (R.365):** fees received and held are accounted under the deposit head until adjusted.

★ EXAM FOCUS

Recall: Security Bond **GFR-14**; Fidelity Bond **GFR-17**; security **1%–10%** of work cost; contractor running deduction **10%**; EMD forfeited if selected bidder defaults; unclaimed deposits lapse to Government.



CHAPTER XV

Buildings and Railway Mail Service Vans

Rule 366–367. Register of Lands and Buildings

A **Register of Lands and Buildings (incl. Electric Installations)** is maintained by the **Heads of Circles** in loose-leaf ledger **Form ACG-69**, region-wise, a separate folio for each building or plot. All expenditure on construction/acquisition/additions (capital or revenue) is recorded. **Additions and alterations** of the previous year are communicated through correction slips at the end of **December** each year. A subsidiary register is kept in **Form ACG-69(a)**.

Rule 368. Inventory of Electric Fittings

Postal Executive Engineers maintain an **inventory of electrical fittings** (departmental and rental buildings) in **Form Gen-19**, agreed annually with the outlay shown in the Register of Lands and Buildings.

Rule 369. Assessment of Rent

The **standard / fair rent** of a departmental residential building is assessed under the rules and recovered as **licence fee** from the allottee.

Rule 370–387. Licence Fee — Recovery

- **Residential buildings (R.370–380):** licence fee is recovered monthly from the pay of the allottee at the rate fixed under the **flat-rate / pooled licence-fee** system.
- **Partly residential (R.381–383):** apportioned between residential and office use.
- **Societies / clubs / stores (R.384–386):** rent recovered from cooperative credit societies, recreation clubs and cooperative stores occupying departmental space.
- **President's Estate (R.387):** special treatment where accommodation is provided free of rent.

Rule 388–394. Joint Buildings, Sales/Purchase & Dismantlement

- **Joint buildings (R.388–389):** cost and rent are apportioned between the sharing departments.
- **Sale/purchase/acquisition (R.390–391):** sanctioned by the competent authority; recorded in the Register on a fresh folio.

- **Inter-branch transfer (R.392) & dismantlement (R.393):** noted in the Register; sale proceeds of dismantled material credited to Government.
- **Soil examination / plans (R.394):** charges for examination of soil and preparation of plans & estimates are debited as prescribed.

Rule 395–407. Works — Classification, Agencies & Payments

- **Classification (R.395):** works are classified as **original works** and **repairs / maintenance**.
- **Agencies (R.396):** works are executed through the **CPWD / Postal Civil & Electrical Wing** or other approved agency.
- **Allotment & pre-audit (R.397–399):** funds are allotted; estimates are pre-audited where required.
- **Payment to contractors (R.401–406):** on **running / final bills** against measurement, after deduction of security and recoveries.
- **Completion report (R.407):** a **completion report** is prepared on completion of each work.

Rule 408–411. Railway Mail Service Vans

A **register of RMS vans** is maintained in **Form ACG-69** in the Circle and DG Offices; capital cost, additions and condemnation of vans are recorded, and interest on capital is borne under the rules.

★ EXAM FOCUS

Form recall: Lands & Buildings register **ACG-69** (subsidiary **ACG-69(a)**), kept by **Heads of Circles**; electric-fittings inventory **Gen-19**; corrections at end of **December**; RMS vans register also **ACG-69**.

CHAPTER XVI

General Provident Fund

Rule 412–414. General Rules & Admission

The **General Provident Fund (GPF)** is open to a Government servant who is **not** covered by the **National Pension System** (i.e., entrants before 01.01.2004). Admission procedure:

- the Head Office sends a statement to the Circle Accounts Office on the **15th** of the month (about **3 months** before subscription is to begin);
- the Accounts Officer **allots the GPF account number**; the Head of Office certifies eligibility;
- the account number is entered in the **Service Book**.

Rule 415–417. Recovery of Subscription

- Subscription is **recovered from the pay bill** each month (or paid in cash if desired).
- Subscription is **compulsorily discontinued during the last 3 months** of service.
- The rate of subscription is fixed by the subscriber within the prescribed **minimum and maximum**.

Rule 418–420. Withdrawals

- **Advances / part-final withdrawals** are permitted for the prescribed purposes (illness, education, housing, etc.) under the GPF Rules.
- **Final withdrawal** on retirement/death is authorised by the Accounts Officer and the amount **credited to the identified bank account** of the subscriber/nominee.
- A **nomination** is mandatory and kept with the account.

NOTE

GPF vs NPS: Government servants appointed on or after **01.01.2004** are covered by the **National Pension System** (Appendix-13), not GPF. The GPF interest rate is notified **quarterly** by the Ministry of Finance — confirm the current rate.

★ EXAM FOCUS

Recall: GPF statement to A.O. on **15th, 3 months** ahead; subscription stops in last **3 months** of service; final amount paid by **bank credit**; NPS for post-**01.01.2004** entrants.



CHAPTER XVII

Miscellaneous Rules

Rule 421. Co-operative Credit Societies' Dues

Subscriptions and loan instalments due to a **Co-operative Credit Society** are recovered from the pay of a member-official, on the society's requisition, and remitted to the society (see Appendix-11).

Rule 422. Club Dues

Authorised **club / association dues** may be recovered from pay where the official has so consented in writing.

Rule 423. Premia on Fidelity Bonds

Premia due on **Fidelity Bonds / guarantee policies** furnished by officials in lieu of cash security are recovered from pay and remitted to the insurer/society.

Rule 424. General Principles Applicable to Contracts

Every contract made by an authority empowered on Government's behalf observes the GFR principles:

- the terms are **precise and definite**, with no room for ambiguity;
- standard forms are used; **uniform application** of rates and conditions;
- no contract involving an **uncertain or indefinite liability** is entered into without prior consent of the competent financial authority; and
- provision is made for **safeguarding Government's interest** in case of default.

Rule 425–429. Payment for Purchase of Stores

- Payment for stores is made only on receipt of the stores in good condition and after **verification against the supply order**.
- Advance payment is avoided; where unavoidable, it is taken against a **bank guarantee** within the GFR limits.
- Bills are checked for **rates, arithmetic and the certificate of receipt** before payment.

Rule 430. Government Drafts

Conditions governing the issue of **Government Drafts** are set out in Appendix-9; drafts are issued and accounted for under those conditions.

Rule 431. Security Deposits by Central Government Departments

Security deposits made by other **Central Government departments** with the Department of Posts are dealt with under the prescribed procedure, ordinarily **without insisting on cash security** between Government departments.

★ EXAM FOCUS

Recall: society & club dues and fidelity premia are recovered from **pay** on requisition/consent; contracts must avoid **indefinite liability** without financial concurrence; pay for stores only **after receipt & verification**.



APPENDICES

Sixteen Appendices to the Postal Financial Handbook Vol-I



APPENDIX 1

Classes of Receipts Exempt from Stamp Duty

Certain Government receipts are **exempt from stamp duty** under the Indian Stamp Act. The principal exemptions relevant to the Department include:

- receipts given by, or on behalf of, the **Government**;
- receipts for **pay or allowances** by Government servants;
- receipts for **pension** or other retirement benefits;
- receipts for **withdrawals from POSB / deposits** and on Savings-Bank transactions;
- receipts for **Postal Life Insurance** and certificate transactions; and
- receipts endorsed on, or contained in, any instrument **already duly stamped**.

NOTE

A receipt for an amount **not exceeding ₹5,000** does not require a revenue stamp in any case (Rule 48).



APPENDIX 2

Enforcement of Responsibility for Losses, etc.

These instructions regulate the **fixing of responsibility** when public money or property is lost through fraud, negligence or otherwise:

- the cause and extent of every loss are **investigated promptly** and responsibility fixed;
- a loss due to **culpable negligence** is recovered from the person responsible, in addition to disciplinary action;
- the fact that a loss was eventually **made good** does not, by itself, close the question of responsibility; and
- serious losses are reported to **audit and the higher authority** without waiting for the investigation to conclude.



APPENDIX 3

Destruction of Accounts Records

Accounts records may be destroyed only after the **prescribed preservation period** and with the prescribed sanction. Indicative periods:

Record	Preservation period
Cash Book / main accounts registers	Permanent / as prescribed
Paid vouchers & sub-vouchers	3 years (minimum)
Pay bills & acquittance rolls	35 years
Service Books	Up to 5 years after retirement / settlement of claims
Muster rolls / contingent registers	3 years
Correspondence of routine nature	1–3 years

■ **CURRENCY FLAG**

Verify the schedule: preservation periods are governed by the **Compendium on Preservation and Disposal of Records** and Departmental orders, which are revised from time to time. Confirm the exact period for a given record before destruction.

APPENDIX 4

Preparation of Last Pay Certificates (LPC)

An **LPC** is issued on the transfer of a Government servant from one office/accounting unit to another, certifying the **pay and allowances last drawn**, the date up to which drawn, and the **recoveries** still to be made.

Essentials of an LPC

- name, designation and the **scale of pay**;
- the **date up to which pay & allowances have been drawn**;
- particulars of **GPF/NPS, income-tax, advances and court attachments** outstanding;
- the **leave account** position and the date of last increment; and
- any **special recoveries** to be continued at the new office.

NOTE

In the CSI/SAP environment the LPC is generated **electronically** and the new DDO continues recoveries on its basis (first payment at the new office is supported by the LPC — see Rule 21).

APPENDIX 5 & 5A**Office Expenses & Contingent Classification**

Appendix-5 lists **miscellaneous rulings on office expenses**, and Appendix-5A lists important items to be classified under '**Other Contingencies**', '**Liveries & Uniforms**', '**Operational & Minor Equipment for Post/RMS Offices**', and '**Purchase & Repair of Furniture**'.

- **Office Expenses:** stationery, printing, telephone/internet, electricity & water charges, postage, freight, and like recurring office costs.
- **Liveries & Uniforms:** cost of uniforms, badges and liveries supplied to entitled staff.
- **Operational & Minor Equipment:** weighing scales, date-stamps, seals, franking/postal equipment of small value.
- **Furniture:** purchase and repair of office furniture below the capital threshold.



APPENDIX 6, 7 & 8

Supply of Articles / Purchase of Stores & Stationery

These appendices contain the rules for the **purchase of stores** for the public service — now read with the **General Financial Rules, 2017** and the **Manual for Procurement of Goods, 2017**. The current monetary ceilings are:

Mode of procurement (GFR-2017)	Monetary limit
Rule 154 — Purchase without quotation	Up to ₹25,000 (per occasion), on a certificate of the competent authority
Rule 155 — Purchase by Purchase Committee	Above ₹25,000 and up to ₹2,50,000
Rule 162 — Limited Tender Enquiry (LTE)	Up to ₹50 lakh (enhanced by OM dated 10.07.2024)
Rule 161 — Advertised Tender Enquiry	₹50 lakh and above — on GeM / CPP Portal
Rule 149 — Procurement through GeM	Mandatory for common-use goods & services available on GeM

■ CURRENCY FLAG

Procurement limits — current position: Rules 154/155 retain ₹25,000 and ₹2,50,000; the LTE / advertised-tender limits were enhanced by the Ministry of Finance OM dated 10.07.2024 (LTE up to ₹50 lakh; advertised tender ₹50 lakh and above). A separate notification (05.06.2025) further raised limits *for scientific/research equipment only*. **GeM** is mandatory for items available on it. Always cite the latest OM. [Source: GFR-2017 as amended; MoF (DoE) OMs.]

NOTE

Stationery (App-8): stationery stores are obtained through the prescribed agency / GeM; indents are consolidated and economy observed.

APPENDIX 9

Conditions Governing Issue of Government Drafts

Government Drafts are issued under stated conditions to remit Government money between offices/accounts:

- issued only for **bona fide Government transactions** against proper authority;
- entered in the **draft register** and reconciled with the encashing office;
- a **lost draft** is dealt with by stop-payment and issue of a duplicate after the prescribed safeguards; and
- a **time-expired** draft is revalidated or cancelled and re-issued.



APPENDIX 10 & 11**Accounting of Certain Deposits / Co-operative Credit Society Dues**

Appendix-10 prescribes the **procedure for accounting of certain categories of deposits** (security, earnest money, miscellaneous), and Appendix-11 the **recovery and remittance of Co-operative Credit Society dues**:

- the society sends a **recovery schedule**; the DDO recovers the amount from the member's pay;
- recoveries are **remitted to the society** within the prescribed time, with a statement of individual deductions; and
- recovery is subject to the overall **net-pay / attachment limits**.



APPENDIX 12

Accounting of TA Advances on Transfer

This appendix prescribes how an **advance of travelling allowance on transfer** is drawn, accounted and adjusted:

- the advance is drawn at the **old station** and the sanction states the **new office**;
- it is **adjusted against the transfer-TA bill** submitted after the journey; and
- any unadjusted balance is **refunded / recovered** without delay.



APPENDIX 13

National Pension System (NPS), 2021

The **National Pension System** applies to Government servants appointed substantively to civil services/posts **on or after 01.01.2004**. Those appointed up to 31.12.2003 continue under the **CCS (Pension) Rules**. The governing rules are the **CCS (Implementation of NPS) Rules, 2021**, notified vide **G.S.R. 227(E) dated 30.03.2021** by the Department of Pension & Pensioners' Welfare.

Coverage — NPS does NOT apply to

- Railway servants; casual / daily-rated / contingency-paid persons; members of the **All India Services**; persons on contract; locally-recruited staff in foreign establishments; and persons governed by special constitutional/statutory terms or to whom CCS (Pension) Rules apply.

Registration & first contribution

- on joining, the employee submits the **Common Subscriber Registration Form** (with the option form) to the Head of Office, who routes it via the DDO to the PAO/CDDO for online enrolment with the **Central Record-Keeping Agency (CRA)**;
- the **first contribution** is credited to the Individual Pension Account within **20 days** of submission, or by the last date of the month of joining, whichever is later.

Contribution rates

Contributor	Rate of emoluments (Basic + DA)
Subscriber (employee)	10%
Government	14%

- the DDO deducts the subscriber's contribution and sends the bill to the PAO/CDDO with details **on or before the 20th** of each month; the PAO/CDDO remits to the **Trustee Bank** by the **last working day** of the month (recovery processed in CSI via **T-Code PA30**).

■ CURRENCY FLAG

Contribution & UPS update: Government contribution was enhanced to **14%** (subscriber **10%**) w.e.f. 01.04.2019. The **Unified Pension Scheme (UPS)** has since been

introduced as an **option** for eligible NPS subscribers (operational from **01.04.2025**), assuring a defined pension; eligible employees may opt for UPS in place of NPS. *Candidates should verify the latest UPS notification and option-window details, as this area is evolving. [Source: G.S.R. 227(E) dated 30.03.2021; MoF/DFS & DoPPW orders on UPS, 2024-25.]*

Interest on delayed deposit

- where delay is **not attributable to the subscriber**, the contribution is credited with **interest at the PPF rate**, credited within **30 days**.

Partial withdrawal & exit

- a subscriber under NPS for **3 years or more** may make a **non-refundable partial withdrawal** of up to **25%** of his own contributions, up to **three times**, for specified reasons, on **self-declaration** (per PFRDA Exit Regulations, 2015);
- on **superannuation**, the subscriber submits the withdrawal form **six months** in advance; the CRA generates claim IDs and informs nodal officers six months before retirement;
- on **death in service**, benefits are payable per the option exercised — where CCS (Pension)/Extraordinary Pension benefits are availed, the **Government contribution + returns** are transferred to Government and the balance corpus paid to the **nominee / legal heir**.

APPENDIX 14

Service Discharge Benefit Scheme (SDBS)

The **Service Discharge Benefit Scheme** is the discharge-benefit scheme for **Gramin Dak Sevaks (GDS)**. The Department makes a **monthly contribution** to the GDS's SDBS account (managed through the NPS architecture / PFRDA), payable as a lump sum / annuity on discharge.

- contribution is credited monthly to the individual SDBS (PRAN) account;
- the accumulated corpus is paid on **discharge / superannuation**; on death, to the nominee; and
- the scheme is regulated by the GDS (Conduct & Engagement) Rules and Departmental orders.

■ CURRENCY FLAG

Verify SDBS terms: the GDS service conditions were substantially revised by the **Kamlesh Chandra Committee** recommendations (2018) and subsequent orders; SDBS contribution and eligibility should be confirmed against the latest GDS rules/Directorate order.

APPENDIX 15

Post Office Life Insurance Rules (PLI / RPLI)

Post Office Life Insurance comprises **Postal Life Insurance (PLI)** — for Government/PSU/defence/notified employees — and **Rural Postal Life Insurance (RPLI)** — for rural residents. The schemes are governed by the **Post Office Life Insurance Rules / POLI Rules, 2011**, and managed through the insurance-fund heads.

Principal PLI products

- **Whole Life Assurance (Suraksha); Endowment Assurance (Santosh); Convertible Whole Life (Suvidha);**
- **Anticipated Endowment (Sumangal)** — a money-back plan; **Joint Life (Yugal Suraksha);** and **Children's Policy (Bal Jeevan Bima).**
- premia are received and accounted under the **Post Office Insurance Fund**; claims (maturity/death) are settled under the Rules.

■ CURRENCY FLAG

Verify sums assured & products: maximum sum assured, eligible clientele and product features under PLI/RPLI are periodically revised by the Directorate (Postal Life Insurance). Confirm current limits before relying on them.

APPENDIX 16

Postal Welfare Board

The **Postal Welfare Board** (at Directorate level) and the **Circle Welfare Boards** meet the welfare and compassionate needs of the staff. They were constituted after the bifurcation of the P&T Department (the Boards date from **1985**); field-level Boards are formed with the concurrence of the Board's Executive Committee.

Finance & allocation of the Central Fund

- funds comprise **grant-in-aid from the Consolidated Fund of India**, voluntary donations/subscriptions, and collections from cultural/sports activities;
- the Central Board retains **5%** of the total grant for special cases;
- not more than **30%** of the grant is allocated to the **Postal Sports Board** each year;
- the balance is allocated to **Circle Welfare Boards** on assessment of need;
- Presidents of Circle Welfare Boards may use up to **10%** of their grant at discretion (flood relief, educational assistance, philanthropic measures); and
- unspent funds are **carried over** to the next financial year.

NOTE

The **P&T Sports Board** was abolished w.e.f. 01.04.2001; the Department now participates independently in national games/sports. Objectives include grants to the Postal Sports Board and setting up welfare institutions — **holiday homes, crèches, tailoring centres, schools and recreation clubs**.

■ CURRENCY FLAG

Eligibility figure: discretionary welfare grants are extended to staff drawing basic pay **up to ₹65,220/month** (or as revised). The eligibility ceiling is updated with pay revisions — confirm the current figure.

★ EXAM FOCUS

Appendix high-yield: NPS **10% + 14%**, G.S.R. 227(E)/30.03.2021, partial withdrawal **25% × 3** after **3 yrs**; UPS option from **01.04.2025**; Welfare Board **5% / 30% Sports / 10% discretionary**; GFR procurement **₹25,000 / ₹2.5 lakh**; receipt stamp **> ₹5,000**; SDBS = GDS; PLI plans (Suraksha/Santosh/Suvidha/Sumangal/Yugal/Bal Jeevan).



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